Azor Funding Receivables & FP&A Model

Excel Automation, Operational Analytics, Forecasting & Financial Reporting

Portfolio Case Study
Built in Microsoft Excel with VBA

Nicolás Varón
2026

1. Executive Summary

1.1 Industry Prelude

Medical receivables sit at the intersection of healthcare services, legal settlements, and financial management. In personal-injury and similar cases, medical providers may deliver treatment before a claim is resolved, creating receivables whose ultimate timing and value depend on the legal process. These balances can remain outstanding for extended periods and may be subject to negotiated reductions before payment is received.

Because the underlying asset is not a conventional invoice with a fixed collection date, evaluating performance requires more than tracking a balance. Management must understand the original medical value, the amount ultimately agreed, the amount collected, the time required to collect it, and the economics of any receivable that was purchased. Performance also varies across law firms, providers, case types, and stages of the settlement process.

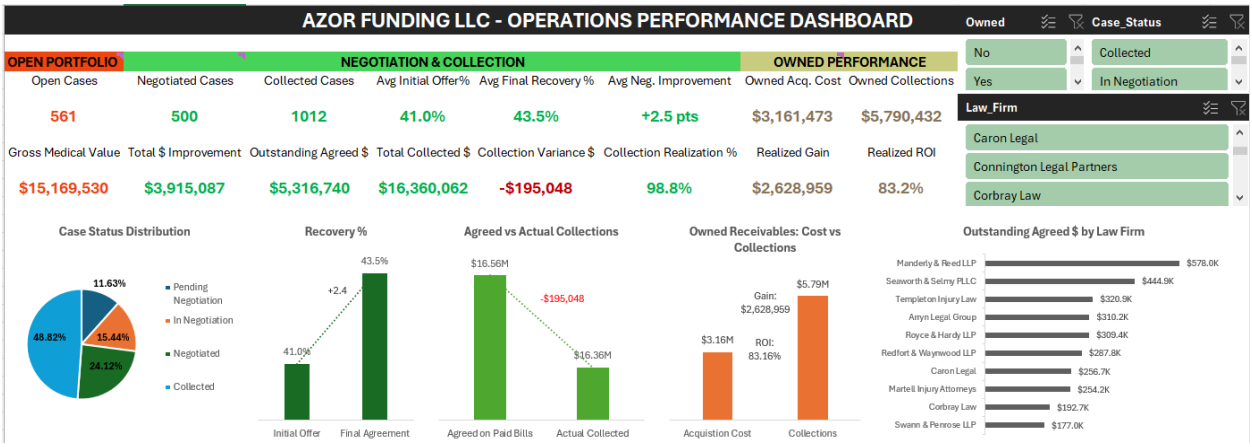
1.2 Factoring Company Business Model

Within this environment, a factoring or receivables-acquisition company creates value by purchasing selected receivables at a discount to their face value and realizing a return when those balances are ultimately resolved and collected. The economic outcome of each purchase therefore depends on the relationship between acquisition cost, negotiated recovery, actual collections, and the time required to convert the asset into cash.

The company may also manage receivables that it does not own, generating fee-based revenue while performing negotiation and collection activities. This creates two related but distinct operating streams: owned receivables, where capital is deployed and investment return must be evaluated, and managed receivables, where performance is driven by service activity and collection outcomes. A useful management system must distinguish these streams while still providing a consolidated view of the portfolio.

1.3 Business Monitoring

Operational oversight requires visibility from the individual bill level through the full portfolio. Management needs to know how many cases are open, negotiated, or collected; how much gross medical value is represented by those cases; how negotiated agreements compare with initial offers; and how actual collections compare with agreed amounts. The same information must also be analyzed across law firms and providers to identify differences in negotiation performance, collection realization, and portfolio concentration.



The project was designed to centralize this information into a structured analytical workflow. Raw operational records are standardized into a consistent data model, case-level work is supported through a reduction calculator, negotiation and collection activity is logged, and the resulting data feeds an operational dashboard. This allows management to move from reviewing isolated receivables to monitoring the behavior of the portfolio as a whole.

1.4 Financial Monitoring

Operational performance alone does not provide a complete view of the business. Receivable purchases consume cash before collections are realized, payroll and operating expenses create recurring obligations, and the timing of collections can materially affect liquidity even when the underlying portfolio remains profitable. For this reason, the project extends the operational model into a monthly FP&A framework.

Metric	Jan-26	Feb-26	Mar-26	Q1
PURCHASE				
Owned Bills Purchased	37	39	50	**126**
Owned Cases Purchased	35	38	47	**109**
Gross Face Purchased	$ 826,207	$ 784,358	$ 590,649	**$ 2,201,215**
Acquisition Spend	$ 190,768	$ 186,643	$ 130,316	**$ 507,728**
Avg Purchase Price %	23.1%	23.8%	22.1%	**23.1%**
OPERATING DRIVERS				
Cases Negotiated	63	54	89	**206**
Cases Collected	57	59	63	**179**
Gross Medical Value	$ 2,746,320	$ 3,076,720	$ 3,862,340	**$ 9,685,380**
Final Agreed Amount	$ 1,187,659	$ 1,334,273	$ 1,603,492	**$ 4,125,424**
Total Collections	$ 1,157,225	$ 1,088,546	$ 1,475,243	**$ 3,721,015**
Collection Realization %	98.7%	97.7%	99.9%	**98.9%**
REVENUE				
Managed Revenue	$ 82,920	$ 51,383	$ 87,370	**$ 221,674**
Owned Collections	$ 328,024	$ 574,711	$ 601,540	**$ 1,504,275**
Total Revenue	**$ 410,944**	**$ 626,095**	**$ 688,910**	**$ 1,725,949**
DIRECT COSTS				
Direct Payroll	$ 53,433	$ 49,196	$ 53,433	**$ 156,062**
Direct Expenses	$ 7,350	$ 7,350	$ 7,350	**$ 22,050**
Owned Acquisition Cost	$ 182,318	$ 316,883	$ 328,177	**$ 827,379**
Total Direct Costs	$ 243,101	$ 373,429	$ 388,960	**$ 1,005,491**
Gross Profit	**$ 167,843**	**$ 252,665**	**$ 299,950**	**$ 720,458**
Gross Margin %	**40.8%**	**40.4%**	**43.5%**	**41.7%**
SG&A				
SG&A Payroll	$ 59,538	$ 59,538	$ 59,538	**$ 178,614**
SG&A Expenses	$ 36,620	$ 33,750	$ 29,220	**$ 99,590**
Depreciation	$ -	$ -	$ -	**$ -**
Total SG&A	**$ 96,158**	**$ 93,288**	**$ 88,758**	**$ 278,204**
EBITDA	**$ 71,685**	**$ 159,377**	**$ 211,192**	**$ 442,254**
EBIT	**$ 71,685**	**$ 159,377**	**$ 211,192**	**$ 442,254**
CASH FLOW				

The financial model translates portfolio activity into revenue, direct costs, SG&A, EBITDA, EBIT, capital expenditure, depreciation, and net cash flow. Monthly actuals roll into quarterly results, while the reporting-month structure separates historical performance from forecast periods and supports forecast-versus-actual analysis and a full-year outlook. The result is a single framework that connects the economics of individual receivables with the operating and financial health of the company.

2. Business Oversight & Project Objectives

The project was designed around a management-oversight problem rather than a single spreadsheet task. The underlying operational data contained thousands of receivables, multiple law firms and providers, different ownership structures, negotiation events, collection outcomes, and recurring financial activity. To make that information useful for decision-making, the project needed to create a consistent framework for measuring portfolio performance at both the receivable level and the company level.

PT_LastName	PT_FirstName	PT_MidName	DOB	DOI	Case_Status	Law_Firm	Provider
Bywater	Alexandra	0	10/10/1979	05/03/2025	Collected	Redfort & Waynwood LLP	Gulltown Surgical Center
Bywater	Alexandra	0	10/10/1979	05/03/2025	Collected	Redfort & Waynwood LLP	The Tor Medical Center
Bywater	Alexandra	0	10/10/1979	05/03/2025	Collected	Redfort & Waynwood LLP	The Tor Medical Center
Chambers	Rebecca	B.	01/20/1951	12/09/2025	Negotiated	Arryn Legal Group	Driftmark Imaging
Chambers	Rebecca	B.	01/20/1951	12/09/2025	Negotiated	Arryn Legal Group	Wickenden Imaging
Codd	Derek	0	04/08/1954	08/31/2025	Collected	Dayne & Fowler PC	White Harbor Med. Group
Arryn	Claire	S.	09/12/1990	06/15/2025	Negotiated	Templeton Injury Law	Whitewalls Rehabilitation
Arryn	Claire	S.	09/12/1990	06/15/2025	Negotiated	Templeton Injury Law	Feastfires Orthopedics
Ryswell	Thomas	B.	07/27/1952	07/09/2025	Collected	Redfort & Waynwood LLP	Arbor Physical Therapy
Ryswell	Thomas	B.	07/27/1952	07/09/2025	Collected	Redfort & Waynwood LLP	Harvest Hall Med. Group
Codd	Rebecca	0	07/14/1963	08/31/2025	Negotiated	Dayne & Fowler PC	Mistwood Pain Institute
Drinkwater	Rebecca	Anne	07/05/1966	02/06/2025	Negotiated	Dayne & Fowler PC	Acorn Hall Orthopedics
Drinkwater	Rebecca	Anne	07/05/1966	02/06/2025	Negotiated	Dayne & Fowler PC	Willow Wood Physical Therapy
Codd	Jennifer	S.	01/09/1963	11/15/2024	Collected	Seaworth & Selmy PLLC	Crossing Spine Institute
Harroway	George	D.	06/30/1957	03/09/2024	Collected	Blackwood Injury Law	Rainhouse Rehabilitation
Harroway	George	D.	06/30/1957	03/09/2024	Collected	Blackwood Injury Law	Iron Oaks Spine Institute
Hook	Alyssa	Michael	05/27/1988	05/10/2025	Collected	Royce & Hardy LLP	Harvest Hall Med. Group
Hook	Alyssa	Michael	05/27/1988	05/10/2025	Collected	Royce & Hardy LLP	Longtable Surgery Center
Hook	Alyssa	Michael	05/27/1988	05/10/2025	Collected	Royce & Hardy LLP	Three Towers Radiology
Tyrell	Margaery	Anne	03/24/1980	04/13/2026	In Negotiation	Corbray Law	Greywater Diagnostics
Tyrell	Margaery	Anne	03/24/1980	04/13/2026	In Negotiation	Corbray Law	Karhold Spine & Pain
Tyrell	Margaery	Anne	03/24/1980	04/13/2026	In Negotiation	Corbray Law	Karhold Spine & Pain

2.1 Standardize and Centralize Operational Data

The first objective was to convert fragmented operational records into a centralized analytical dataset. Source data could contain inconsistent provider names, law-firm names, ownership indicators, dates, statuses, and other fields that made direct comparison difficult. Without standardization, the same business entity could appear under multiple variations, and portfolio-level analysis could become unreliable.

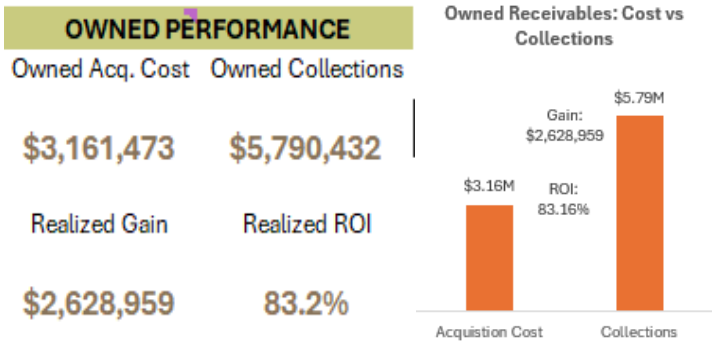
The model therefore separates raw source information from a standardized operational layer. Records are cleaned, normalized, and organized at the case and bill level so that acquisition activity, negotiation history, collection performance, provider information, and law-firm

information can be analyzed consistently. This centralized structure also serves as the common data source for the reduction calculator, operational dashboard, and financial reporting model.

Standard_Provider	Provider_Cat
Acorn Hall Orthopedics	Orthopedics
Acorn Hall Orthopedics	Orthopedics
Arbor Physical Therapy	Physical Therapy
Arbor Physical Therapy	Physical Therapy
Barrowton Imaging	Imaging
Bear Island Medical Center	Hospital
Bitterbridge Imaging	Imaging
Blackhaven Orthopedics	Orthopedics
Blackhaven Orthopedics	Orthopedics
Blackmont Orthopedics	Orthopedics
Blackmont Orthopedics	Orthopedics
Blackpool Rehabilitation	Rehabilitation
Brightwater Surgical Center	Surgery
Brightwater Surgical Center	Surgery
Bronzegate Imaging	Imaging

2.2 Evaluate Receivable Purchases and Returns

For owned receivables, management must evaluate more than the gross medical balance. Capital is committed when a receivable is purchased, while the economic return is realized only when the underlying case is negotiated and collected. The project therefore needed to connect acquisition cost with gross face value, negotiated recovery, actual collections, and purchase-price percentage.



This makes it possible to evaluate the quality of receivable purchases at both the individual and portfolio level. Management can compare acquisition spend with realized collections, monitor the amount of capital deployed, and assess whether purchasing activity is generating an appropriate return.

2.3 Evaluate Negotiation and Law-Firm Performance

Settlement performance is influenced by the progression from the initial offer to the final agreed amount and, ultimately, to the amount actually collected. A core objective of the project was

therefore to preserve negotiation history and convert that activity into measurable performance indicators rather than treating each settlement as an isolated event.

The model tracks initial offers, counters, final agreements, recovery percentages, and collection realization. These measures can then be aggregated by law firm to identify differences in negotiation improvement, dollar improvement, outstanding agreed amounts, and collection realization.

	Event_Type	Event_Amount	Gross_Basis	Recovery_%	Final_Flag	Change_From_Prior_$	Change_From_Prior_%
1	Firm Offer	$350.00	$1,040.00	33.7%	No		
2	Azor Counter	$600.00	$1,040.00	57.7%	No	$250.00	24.0%
3	Agreement	$500.00	$1,040.00	48.1%	Yes	-$100.00	-9.6%
1	Azor Counter	$6,500.00	$14,610.00	44.5%	No		
2	Agreement	$6,500.00	$14,610.00	44.5%	Yes	$0.00	0.0%
1	Firm Offer	$2,500.00	$8,560.00	29.2%	No		
2	Azor Counter	$4,500.00	$8,560.00	52.6%	No	$2,000.00	23.4%
3	Agreement	$3,800.00	$8,560.00	44.4%	Yes	-$700.00	-8.2%
1	Firm Offer	$17,000.00	$47,730.00	35.6%	No		
2	Azor Counter	$23,000.00	$47,730.00	48.2%	No	$6,000.00	12.6%
3	Firm Offer	$20,000.00	$47,730.00	41.9%	No	-$3,000.00	-6.3%
4	Agreement	$21,000.00	$47,730.00	44.0%	Yes	$1,000.00	2.1%
1	Firm Offer	$6,000.00	$20,780.00	28.9%	No		
2	Azor Counter	$10,390.00	$20,780.00	50.0%	No	$4,390.00	21.1%
3	Firm Offer	$8,500.00	$20,780.00	40.9%	No	-$1,890.00	-9.1%
4	Azor Counter	$9,300.00	$20,780.00	44.8%	No	$800.00	3.8%
5	Agreement	$9,300.00	$20,780.00	44.8%	Yes	$0.00	0.0%

2.4 Evaluate Financial Health and Portfolio Distribution

The final objective was to connect operational activity with the broader financial condition of the company. Strong collections or negotiation results do not automatically imply strong liquidity, because receivable purchases, payroll, operating expenses, and capital expenditures can create significant cash requirements before collections are realized.

The project therefore combines portfolio-distribution analysis with monthly financial reporting. Management can evaluate where cases and receivables are concentrated, how activity is distributed across law firms and statuses, and how those operating results translate into revenue, direct costs, SG&A, EBITDA, EBIT, and net cash flow. Forecast-versus-actual reporting and a rolling full-year outlook extend the model from historical reporting into forward-looking financial oversight.

Metric	Jan-26	Feb-26	Mar-26	Q1	Apr-26	May-26	Jun-26	Q2
PURCHASE								
Gross Face Purchased	$ 826,207	$ 784,358	$ 590,649	**$ 2,201,215**	$ 546,723	$ 1,008,304	$ 468,072	**$ 2,023,099**
Acquisition Spend	$ 190,768	$ 186,643	$ 130,316	**$ 507,728**	$ 140,887	$ 237,577	$ 113,618	**$ 492,081**
Avg Purchase Price %	23.1%	23.8%	22.1%	**23.1%**	25.8%	23.6%	24.3%	**24.3%**
OPERATING DRIVERS								
Gross Medical Value	$ 2,746,320	$ 3,076,720	$ 3,862,340	**$ 9,685,380**	$ 5,157,906	$ 5,509,233	$ 5,465,007	**$ 16,132,146**
Final Agreed Amount	$ 1,187,659	$ 1,334,273	$ 1,603,492	**$ 4,125,424**	$ 2,217,638	$ 2,324,032	$ 2,268,264	**$ 6,809,934**
Total Collections	$ 1,157,225	$ 1,088,546	$ 1,475,243	**$ 3,721,015**	$ 1,247,370	$ 1,400,728	$ 1,318,569	**$ 3,966,667**
Collection Realization %	98.7%	97.7%	99.9%	**98.9%**	99.1%	97.2%	99.9%	**98.7%**
REVENUE								
Total Revenue	**$ 410,944**	**$ 626,095**	**$ 688,910**	**$ 1,725,949**	**$ 483,287**	**$ 673,699**	**$ 484,621**	**$ 1,641,607**
DIRECT COSTS								
Total Direct Costs	**$ 243,101**	**$ 373,429**	**$ 388,960**	**$ 1,005,491**	**$ 291,081**	**$ 402,901**	**$ 262,307**	**$ 956,289**
Total SG&A	**$ 96,158**	**$ 93,288**	**$ 88,758**	**$ 278,204**	**$ 101,821**	**$ 89,091**	**$ 93,621**	**$ 284,534**
EBITDA	**$ 71,685**	**$ 159,377**	**$ 211,192**	**$ 442,254**	**$ 90,718**	**$ 182,040**	**$ 129,027**	**$ 401,785**
EBIT	**$ 71,685**	**$ 159,377**	**$ 211,192**	**$ 442,254**	**$ 90,385**	**$ 181,706**	**$ 128,693**	**$ 400,785**
CASH FLOW								
Net Cash Flow	**$ 63,235**	**$ 289,618**	**$ 409,053**	**$ 761,905**	**$ 168,129**	**$ 288,699**	**$ 216,932**	**$ 673,761**

3. Project Walkthrough

The project was developed as an integrated operational and financial management system rather than as a collection of independent spreadsheets. Each component serves a specific purpose, while sharing a common underlying data structure. Operational records are first consolidated and standardized, then used by the Reduction Calculator for case-level work, summarized through the Operational Dashboard for management analysis, and ultimately translated into monthly financial reporting and forecasting.

Patient	Case_ID2	Bill_ID2	Case_Gross_Value	Case_Initial_Offer_$	Case_Offer_%	Case_Final_Agreed_$
Alexandra Bywater	C001298	B001298-01	$ 97,680	$ 37,650	38.54%	$ 37,650
Alexandra Bywater	C001298	B001298-02	$ 97,680	$ 37,650	38.54%	$ 37,650
Alexandra Bywater	C001298	B001298-03	$ 97,680	$ 37,650	38.54%	$ 37,650
Rebecca B. Chambers	C001126	B001126-01	$ 8,830	$ 2,500	28.31%	$ 4,415
Rebecca B. Chambers	C001126	B001126-02	$ 8,830	$ 2,500	28.31%	$ 4,415
Derek Codd	C000003-A	B000003-02	$ 8,560	$ 2,500	29.21%	$ 3,800
Claire S. Arryn	C000001	B000001-01	$ 7,090	$ 2,600	36.67%	$ 4,500
Claire S. Arryn	C000001	B000001-02	$ 7,090	$ 2,600	36.67%	$ 4,500
Thomas B. Ryswell	C000002	B000002-01	$ 7,800	$ 2,711	34.76%	$ 4,436
Thomas B. Ryswell	C000002	B000002-02	$ 7,800	$ 2,711	34.76%	$ 4,436
Rebecca Codd	C000003	B000003-01	$ 20,780	$ 6,000	28.87%	$ 9,300

This structure allows the model to move from individual receivables and negotiations to portfolio-level operational analysis and, finally, to company-level financial performance.

3.1 Operational Data

The foundation of the project is the operational data model. The original source information contains thousands of receivable records with case, provider, law-firm, ownership, balance, negotiation, and collection information. Because these records are used across multiple analytical processes, the first priority was to create a consistent central data source rather than allowing each report or calculator to maintain its own separate version of the data.

Bill_Final_Recovery_%	Collection_Var_$	Collection_Var_%	Acq_Cost2	Owned_BreakEven_%	Owned_ROI_Agreem	Owned_Gain_Agreem	Owned_Realized_Gain
40.89%	$ (12,435.14)	-14.40%	$ 54,404	25.76%	58.73%	$ 31,951	$ 19,516
39.44%	$ (9,662.69)	-17.63%	$ 33,041	23.78%	65.89%	$ 21,769	$ 12,106
53.22%	$ (8,492.39)	-11.95%	$ 35,545	26.61%	100.00%	$ 35,545	$ 27,053
28.27%	$ (7,256.39)	-11.87%					
54.03%	$ (7,074.43)	-13.08%	$ 19,853	19.83%	172.49%	$ 34,245	$ 27,171
50.23%	$ (4,900.47)	-11.64%	$ 16,256	19.40%	158.94%	$ 25,837	$ 20,937
50.34%	$ (4,090.90)	-4.05%	$ 47,159	23.48%	114.38%	$ 53,939	$ 49,848
40.65%	$ (3,943.18)	-4.60%	$ 59,442	28.18%	44.27%	$ 26,316	$ 22,373

The model separates the original source records from the standardized operational database. Raw_Data preserves imported information, while Op_Data serves as the primary analytical layer used throughout the workbook. Each receivable is maintained at the bill level and linked to its corresponding case, patient, provider, law firm, ownership status, balances, dates, and operational status.

Standardization is particularly important because provider and law-firm names may appear differently across source records. Supporting reference structures are therefore used to normalize recurring entities and maintain consistent classifications.

The operational database also distinguishes between **owned receivables** and **managed receivables**. This distinction is fundamental to the business model. Owned receivables represent capital deployed by the company and therefore require acquisition-cost and investment-return analysis, while managed receivables generate revenue through management fees without the same acquisition-cost exposure.

Rather than acting only as a storage table, the operational layer becomes the central connection between the different components of the project. The Reduction Calculator retrieves cases and bills from it, negotiation and collection activity updates the related records and logs, the Operational Dashboard aggregates the data into portfolio-level metrics, and Monthly Financials converts the underlying activity into financial reporting.

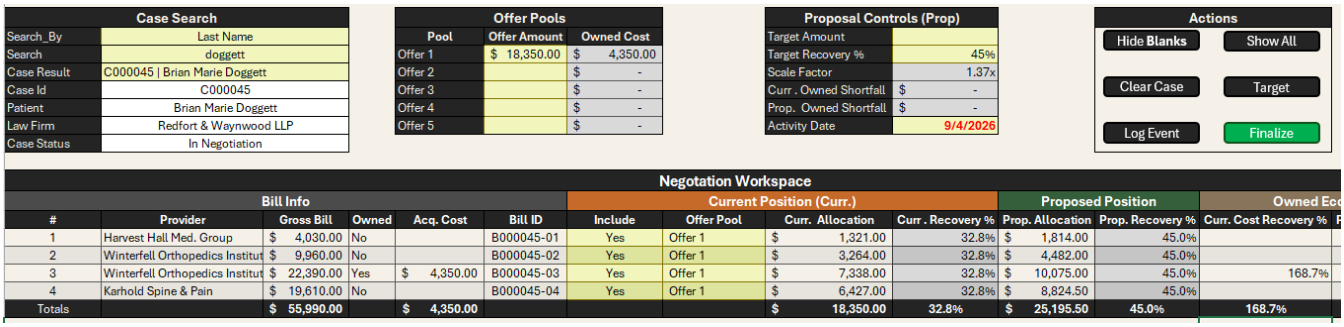
3.2 Reduction Calculator

The Reduction Calculator was developed to support the case-level settlement process while simultaneously creating structured data for later analysis.

A user can search for a case and load its associated medical bills into a dedicated negotiation workspace. The calculator displays information such as provider, gross bill amount, ownership status, acquisition cost, and bill identifiers while separating the **current negotiation position** from a **proposed position**.

Settlement offers can be allocated across multiple bills instead of being evaluated only as a case-level total. This allows the user to examine the recovery percentage of each bill, compare current and proposed allocations, and understand the economic effect of a negotiation on owned receivables.

For owned balances, the calculator also evaluates the relationship between proposed recoveries and acquisition cost. This provides additional visibility into situations where a settlement allocation could result in a shortfall relative to the capital originally invested in the receivable.



Case Search	
Search_By	Last Name
Search	doggett
Case Result	C000045 | Brian Marie Doggett
Case Id	C000045
Patient	Brian Marie Doggett
Law Firm	Redfort & Waynwood LLP
Case Status	In Negotiation

Offer Pools		
Pool	Offer Amount	Owned Cost
Offer 1	$ 18,350.00	$ 4,350.00
Offer 2		$ -
Offer 3		$ -
Offer 4		$ -
Offer 5		$ -

Proposal Controls (Prop)	
Target Amount	
Target Recovery %	45%
Scale Factor	1.37x
Curr . Owned Shortfall	$ -
Prop. Owned Shortfall	$ -
Activity Date	9/4/2026

Actions: Hide Blanks | Show All | Clear Case | Target | Log Event | Finalize

Negotation Workspace

	Bill Info					Current Position (Curr.)				Proposed Position		Owned Ec
#	Provider	Gross Bill	Owned	Acq. Cost	Bill ID	Include	Offer Pool	Curr. Allocation	Curr . Recovery %	Prop. Allocation	Prop. Recovery %	Curr. Cost Recovery %
1	Harvest Hall Med. Group	$ 4,030.00	No		B000045-01	Yes	Offer 1	$ 1,321.00	32.8%	$ 1,814.00	45.0%	
2	Winterfell Orthopedics Institut	$ 9,960.00	No		B000045-02	Yes	Offer 1	$ 3,264.00	32.8%	$ 4,482.00	45.0%	
3	Winterfell Orthopedics Institut	$ 22,390.00	Yes	$ 4,350.00	B000045-03	Yes	Offer 1	$ 7,338.00	32.8%	$ 10,075.00	45.0%	168.7%
4	Karhold Spine & Pain	$ 19,610.00	No		B000045-04	Yes	Offer 1	$ 6,427.00	32.8%	$ 8,824.50	45.0%	
Totals		$ 55,990.00		$ 4,350.00				$ 18,350.00	32.8%	$ 25,195.50	45.0%	168.7%

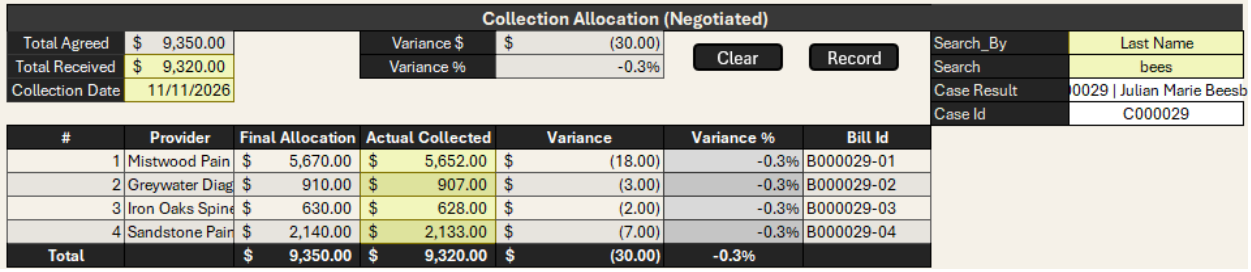
The calculator incorporates several workflow controls intended to reduce repetitive manual work. Users can:

- search and initialize cases;
- select which bills participate in a negotiation;
- allocate offers across bills;
- create target recovery allocations;
- hide unused bill rows;
- review current and proposed recovery percentages;
- log negotiation events;
- finalize negotiated agreements; and
- record subsequent collections.

Negotiation events are preserved in a separate history structure rather than simply replacing the previous value. This allows the progression of a negotiation to be reconstructed from the initial law-firm offer through counters and final agreement.

Once an agreement is finalized, the exact bill-level allocation is written back to the operational data.

The lower section of the calculator also includes a dedicated **Collection Allocation workspace**. After a negotiated agreement has been finalized, the user can search for the case again and record the actual amount collected against the agreed bill-level allocation. The collection section displays the agreed amount, actual amount received, collection date, bill-level allocations, and any dollar or percentage variance between the negotiated agreement and the amount ultimately collected.



Collection Allocation (Negotiated)

Total Agreed	$ 9,350.00		Variance $	$ (30.00)	Clear / Record	Search_By: Last Name
Total Received	$ 9,320.00		Variance %	-0.3%		Search: bees
Collection Date	11/11/2026					Case Result: 0029 | Julian Marie Beesb
						Case Id: C000029

#	Provider	Final Allocation	Actual Collected	Variance	Variance %	Bill Id
1	Mistwood Pain	$ 5,670.00	$ 5,652.00	$ (18.00)	-0.3%	B000029-01
2	Greywater Diag	$ 910.00	$ 907.00	$ (3.00)	-0.3%	B000029-02
3	Iron Oaks Spine	$ 630.00	$ 628.00	$ (2.00)	-0.3%	B000029-03
4	Sandstone Pain	$ 2,140.00	$ 2,133.00	$ (7.00)	-0.3%	B000029-04
Total		**$ 9,350.00**	**$ 9,320.00**	**$ (30.00)**	**-0.3%**	

This creates a direct link between the negotiation outcome and the eventual cash recovery. Rather than treating the negotiated amount as the final result, the model preserves the distinction between **what was agreed** and **what was actually collected**.

Collection activity is also recorded in a separate historical log, allowing the model to track collection realization over time and identify cases where actual cash received differs from the negotiated settlement.

The result is that the Reduction Calculator performs three connected roles. Operationally, it functions as a working tool for settlement analysis. From a collection perspective, it monitors the conversion of negotiated agreements into realized cash. Analytically, it converts both negotiation and collection activity into structured historical data that can later be evaluated across cases, providers, law firms, and the overall portfolio.

3.3 Operational Dashboard

The Operational Dashboard transforms the detailed receivable database into a management-level view of portfolio performance.

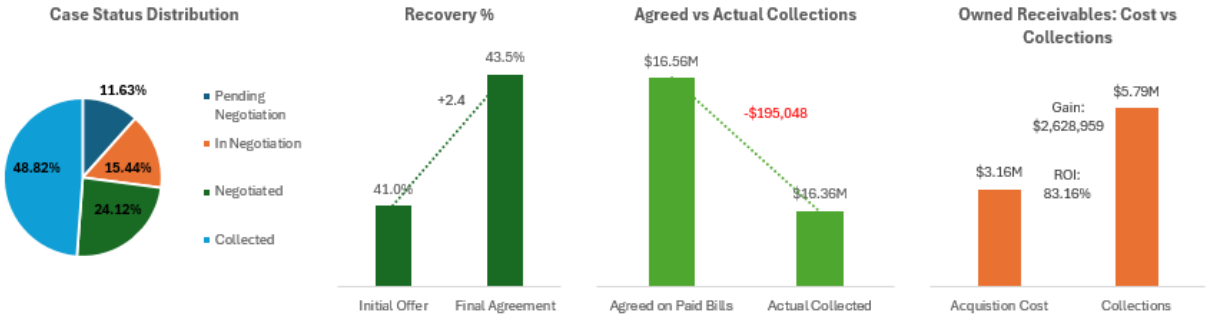
Rather than reviewing individual cases, management can use the dashboard to monitor the overall scale, status, and performance of the portfolio. High-level indicators summarize areas such as open cases, negotiated cases, collected cases, initial recovery levels, final recovery levels, negotiation improvement, acquisition cost, owned collections, and outstanding agreed balances.

The dashboard also evaluates how cases move through the operating cycle. Case-status distributions provide visibility into the volume of receivables that remain open, have been negotiated, or have progressed through collections. This helps identify where receivables are concentrated within the portfolio and whether operational activity is progressing as expected.

A significant portion of the dashboard is dedicated to law-firm analysis. Negotiation and collection data are aggregated to evaluate metrics such as:

- negotiation dollar improvement;
- average recovery improvement;
- collection realization percentage;

- outstanding agreed balances; and
- collection shortfalls.



These measures provide a more complete view than simply ranking firms by total collections. A law firm may produce strong negotiated agreements but weaker collection realization, while another may demonstrate greater improvement between initial offers and final agreements. Viewing multiple metrics together allows management to identify these differences.

The dashboard therefore acts as the operational decision-support layer of the project. Detailed transactional data remain available within the underlying database, while the dashboard highlights the areas that require management attention.

3.4 Monthly Financials

The Monthly Financials model extends the project beyond operational analysis by translating receivable activity into a structured FP&A framework.

The model combines operational drivers with payroll, operating expenses, acquisition activity, capital expenditures, and other financial assumptions to produce a monthly view of company performance. Historical months are presented alongside quarterly totals, forecast-versus-actual comparisons, forward projections, and a full-year outlook.

Revenue is separated between **managed revenue** and **owned collections**, reflecting the two principal economic structures represented in the operational data. Direct costs include payroll and acquisition-related costs, allowing the model to calculate gross profit and gross margin before incorporating SG&A expenses.

The model then progresses through:

- Total Revenue;
- Direct Costs;
- Gross Profit and Gross Margin;
- SG&A;
- EBITDA;
- Depreciation;

- EBIT; and
- Net Cash Flow.

Capital expenditures are treated separately from depreciation so that the model distinguishes between the cash impact of acquiring an asset and the accounting expense recognized over its useful life.

The reporting structure also incorporates forecasting. A selected reporting month determines the boundary between historical actual performance and forward-looking periods. The model can compare the current month forecast with the actual result, calculate absolute and percentage variances, and use current operating performance together with historical run rates to construct the remaining monthly outlook.

Metric	Sep-26	Q3	Oct Fcst	Oct Actual	Abs Var	Var %	Nov-26	Dec-26	Q4	FY
PURCHASE										
Gross Face Purchased	$ 354,070	$ 1,299,560	$ 639,742	$ 297,384	$ (342,358)	-53.5%	$ 501,419	$ 587,871	$ 1,386,674	$ 6,910,548
Acquisition Spend	$ 84,299	$ 297,762	$ 150,137	$ 69,536	$ (80,601)		$ 117,675	$ 137,964	$ 325,176	$ 1,622,747
Avg Purchase Price %	23.8%	22.9%	23.5%	23.4%	-0.1%	-0.4%	23.5%	23.5%	23.5%	23.5%
OPERATING DRIVERS										
Gross Medical Value	$ 352,260	$ 9,314,004	$ 4,333,155	$ 2,403,970	$ (1,929,185)	-44.5%	$ 3,420,912	$ 3,953,054	$ 9,777,936	$ 44,909,466
Final Agreed Amount	$ 163,841	$ 3,771,739	$ 1,811,947	$ 829,706	$ (982,241)	-54.2%	$ 1,430,484	$ 1,653,004	$ 3,913,194	$ 18,620,292
Total Collections	$ 186,098	$ 3,162,379	$ 1,325,349	$ 799,862	$ (525,487)	-39.6%	$ 1,101,059	$ 1,223,399	$ 3,124,320	$ 13,974,382
Collection Realization %	99.8%	98.9%	98.8%	98.3%	-0.5%	-0.5%	98.8%	98.8%	98.7%	98.8%
REVENUE										
Total Revenue	$ 111,927	$ 957,474	$ 523,617	$ 472,560	$ (51,057)	-9.8%	$ 435,005	$ 483,339	$ 1,390,904	$ 5,715,934
DIRECT COSTS										
Total Direct Costs	$ 108,113	$ 560,029	$ 300,325	$ 282,180	$ (18,145)	-6.0%	$ 260,447	$ 282,632	$ 825,260	$ 3,347,069
Total SG&A	$ 89,091	$ 278,754	$ 94,175	$ 103,355	$ 9,180	9.7%	$ 94,508	$ 94,508	$ 292,371	$ 1,133,863
EBITDA	$ (84,944)	$ 119,692	$ 129,450	$ 87,692	$ (41,758)	-32.3%	$ 80,716	$ 106,865	$ 275,272	$ 1,239,003
EBIT	$ (85,277)	$ 118,692	$ 129,117	$ 87,025	$ (42,092)	-32.6%	$ 80,049	$ 106,198	$ 273,272	$ 1,235,003
CASH FLOW										
Net Cash Flow	$ (121,913)	$ 199,609	$ 219,649	$ 227,553	$ 7,903	3.6%	$ 162,705	$ 190,750	$ 581,007	$ 2,216,282

This produces quarterly and full-year projections while preserving the distinction between actual and forecast information.

The cash-flow section provides an additional liquidity perspective by comparing operating cash inflows with payroll, operating expenses, acquisition spending, and capital expenditures. This is particularly relevant in a receivables business, where profitability and liquidity can diverge because capital may be deployed well before the associated collections are realized.

Monthly Financials therefore completes the project architecture. Operational activity originating at the individual receivable level is converted into standardized data, analyzed operationally, and ultimately translated into profitability, liquidity, and forward-looking financial performance.

4. Data Analysis

The analytical value of the project depends on more than storing operational records. The source data had to be transformed into a consistent structure, connected across related business processes, and converted into metrics that could support both operational and financial decision-making.

The data-analysis layer therefore focuses on four areas: standardizing raw information, structuring the operational model, constructing analytical measures, and maintaining controls that support data reliability.

4.1 Raw Data to Standardized Data

The project begins with raw operational records containing case, bill, patient, provider, law-firm, ownership, balance, date, status, and related receivable information.

Although these records contain the necessary business data, source information is not always immediately suitable for analysis. Naming conventions may vary, classifications may be inconsistent, and similar entities may appear under different labels. These inconsistencies can distort aggregations and make comparisons unreliable if they are carried directly into reporting.

To address this, the workbook separates source information from the analytical layer.

Raw_Data preserves the imported source records, while Op_Data transforms them into a standardized operating dataset. This separation provides two advantages: the original information remains available for reference, while analytical logic can be applied without altering the source records.

Supporting reference lists are used to maintain consistent naming and classification across the workbook. This allows records belonging to the same provider or law firm to be grouped correctly even when the original source data contains different naming variations.

Iron Oaks Spine Institute	Spine / Pain
Iron Oaks Spine Institute	Spine / Pain
Iron Oaks Spine Institute	Spine / Pain
Karhold Spine & Pain	Spine / Pain
Kingsgrave Spine Institute	Spine / Pain
Lemonwood Physical Therap	Physical Therapy
Lemonwood Physical Therap	Physical Therapy

The result is a cleaner analytical dataset in which each receivable can be compared consistently across cases, firms, providers, ownership types, and time periods.

4.2 Data Model

The operational model is structured around the relationship between **cases and individual medical bills**.

A single case may contain multiple receivables from different providers. For that reason, the model maintains bill-level detail while also preserving the case-level relationship required for negotiation and collection analysis.

This structure allows the project to analyze the portfolio at different levels of detail. A user can review the economics of an individual receivable, evaluate the total position of a case, compare performance across law firms or providers, or aggregate the information into company-level financial results.

Separate historical tables are used for activities that can occur multiple times.

Negotiation activity is stored in Neg_Log, allowing multiple offers and counters to be associated with the same case without overwriting prior events. Similarly, Collection_Log preserves collection activity independently from the current state of the operational database.

This distinction between **current state** and **transaction history** is important. Op_Data provides the present analytical position of the receivable, while the supporting logs preserve how that position was reached.

The operational model also connects with payroll, expense, and financial datasets, allowing activity originating at the receivable level to ultimately feed company-level financial analysis.

4.3 Analytical Metrics

Once the data has been standardized and structured, additional measures are calculated to convert operational activity into meaningful performance indicators.

For receivable purchases, the model evaluates metrics such as:

- gross face value;
- acquisition cost;
- purchase price percentage;
- owned collections; and
- recovery relative to invested capital.

OPEN PORTFOLIO		NEGOTIATION & COLLECTION				OWNED PERFORMANCE	
Open Cases	Negotiated Cases	Collected Cases	Avg Initial Offer%	Avg Final Recovery %	Avg Neg. Improvement	Owned Acq. Cost	Owned Collections
561	500	1012	41.0%	43.5%	+2.5 pts	$3,161,473	$5,790,432
Gross Medical Value	Total $ Improvement	Outstanding Agreed $	Total Collected $	Collection Variance $	Collection Realization %	Realized Gain	Realized ROI
$15,169,530	$3,915,087	$5,316,740	$16,360,062	-$195,048	98.8%	$2,628,959	83.2%

These measures help evaluate how much capital is being deployed and how effectively that capital is being recovered.

For negotiations, the model compares the progression between the initial offer and final agreement. This enables metrics such as:

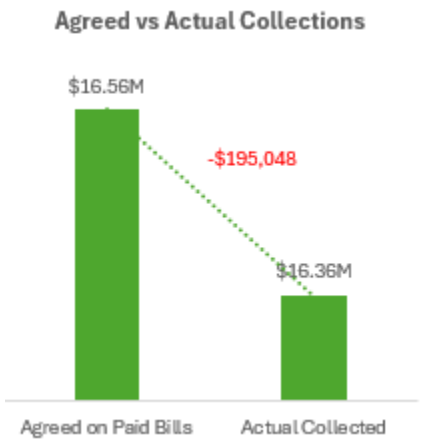
- initial recovery percentage;
- final recovery percentage;
- negotiation improvement in percentage points;
- negotiation dollar improvement; and
- agreed value by case or law firm.

Negotiated Cases	Collected Cases	Avg Initial Offer%	Avg Final Recovery %	Avg Neg. Improvement
500	1012	41.0%	43.5%	+2.5 pts

Total $ Improvement	Outstanding Agreed $	Total Collected $	Collection Variance $	Collection Realization %
$3,915,087	$5,316,740	$16,360,062	-$195,048	98.8%

Collection analysis extends the process beyond the negotiated agreement. By comparing agreed amounts with actual cash received, the model can calculate:

- collection realization percentage;
- collection variance in dollars;
- outstanding agreed amounts; and
- collection shortfalls.



These metrics can then be aggregated across law firms, providers, ownership types, statuses, and other portfolio dimensions.

The same operational data is also transformed into financial drivers. Examples include receivable purchase volume, acquisition spend, cases negotiated, cases collected, gross medical value, final agreed amount, and total collections.

This creates a direct analytical bridge between the operational database and the FP&A model.

Rather than maintaining separate operational and financial definitions, the project uses common underlying data so that dashboard metrics and financial reporting are based on the same business activity.

5. FP&A Adaptation

One of the most important aspects of the project was adapting industry-specific operational data into a conventional FP&A framework.

The underlying business does not begin with traditional sales orders or product revenue. Instead, financial performance is driven by receivable purchases, settlement negotiations, collections, management fees, acquisition costs, payroll, operating expenses, and the timing difference between capital deployment and cash recovery.

The FP&A layer was therefore designed to translate those operational drivers into a financial structure that can support profitability analysis, liquidity management, forecasting, and management decision-making.

5.1 Translating Operational Data into Financial Reporting

The first step was to identify which operational activities function as financial drivers and determine how they should flow into the monthly reporting model.

Operational activity such as receivables purchased, cases negotiated, cases collected, gross medical value, final agreed amounts, and actual collections is used as the foundation for financial reporting.

The model distinguishes between two principal economic structures.

For **managed receivables**, the company does not deploy acquisition capital in the same way as it does for owned balances. Revenue is therefore primarily derived from management fees generated from collected amounts.

For **owned receivables**, the company invests capital to acquire the receivable and later realizes value through settlement and collection. Owned collections therefore contribute directly to revenue, while acquisition activity must also be reflected in cost and cash-flow analysis.

Metric	Sep-26	Q3	Oct Fcst	Oct Actual	Abs Var	Var %	Nov-26	Dec-26	Q4	FY
PURCHASE										
Owned Bills Purchased	24	**86**	39	23	-16	-41.0%	31	36	**90**	**430**
Owned Cases Purchased	18	**75**	37	21	-16	-43.2%	29	34	**84**	**377**
Gross Face Purchased	$ 354,070	**$ 1,299,560**	$ 639,742	$ 297,384	$ (342,358)	-53.5%	$ 501,419	$ 587,871	**$ 1,386,674**	**$ 6,910,548**
Acquisition Spend	$ 84,299	**$ 297,762**	$ 150,137	$ 69,536	$ (80,601)		$ 117,675	$ 137,964	**$ 325,176**	**$ 1,622,747**
Avg Purchase Price %	23.8%	**22.9%**	23.5%	23.4%	-0.1%	-0.4%	23.5%	23.5%	**23.5%**	**23.5%**
OPERATING DRIVERS										
Cases Negotiated	13	**309**	114	65	-49	-43.0%	90	104	**259**	**1187**
Cases Collected	12	**157**	65	42	-23	-35.4%	54	60	**156**	**691**
Gross Medical Value	$ 352,260	**$ 9,314,004**	$ 4,333,155	$ 2,403,970	$ (1,929,185)	-44.5%	$ 3,420,912	$ 3,953,054	**$ 9,777,936**	**$ 44,909,466**
Final Agreed Amount	$ 163,841	**$ 3,771,739**	$ 1,811,947	$ 829,706	$ (982,241)	-54.2%	$ 1,430,484	$ 1,653,004	**$ 3,913,194**	**$ 18,620,292**
Total Collections	$ 186,098	**$ 3,162,379**	$ 1,325,349	$ 799,862	$ (525,487)	-39.6%	$ 1,101,059	$ 1,223,399	**$ 3,124,320**	**$ 13,974,382**
Collection Realization %	99.8%	**98.9%**	98.8%	98.3%	-0.5%	-0.5%	98.8%	98.8%	**98.7%**	**98.8%**

This operational activity is translated into a conventional financial statement structure that includes:

- Total Revenue;
- Direct Payroll;
- Direct Expenses;
- Owned Acquisition Cost;
- Total Direct Costs;
- Gross Profit;
- Gross Margin;
- SG&A Payroll;
- SG&A Expenses;
- Depreciation;
- EBITDA;
- EBIT; and
- Net Cash Flow.

The model also separates accounting expense from cash movement.

For example, capital expenditures are recorded as cash outflows when an asset is purchased, while depreciation is recognized over the asset's useful life in the income statement. This prevents the same economic event from being treated identically in profitability and liquidity analysis.

By structuring the operational data in this way, the project converts a niche receivables business into a financial reporting model that can be analyzed using standard FP&A concepts.

5.2 Actual vs Forecast

The Monthly Financials model was designed to distinguish between historical actual performance and forward-looking expectations.

A selected **Reporting Month** acts as the control point for the model. Periods before the reporting month represent historical actual results, while the current and future periods are used for forecast and outlook analysis.

For the current reporting month, the model presents both a forecast and the actual result once that month's activity becomes available.

This creates a direct **Forecast vs Actual** comparison across operational and financial measures.

Variance is measured in both absolute and percentage terms, allowing management to identify where actual performance differs from expectations.

The comparison is applied across metrics such as:

- receivable purchases;
- acquisition spend;
- cases negotiated;
- cases collected;
- collections;
- revenue;
- payroll;
- operating expenses;
- direct costs;
- SG&A;
- EBITDA;
- EBIT; and
- cash flow.

Oct Fcst	Oct Actual	Abs Var	Var %
39	23	-16	-41.0%
37	21	-16	-43.2%
$ 639,742	$ 297,384	$ (342,358)	-53.5%
$ 150,137	$ 69,536	$ (80,601)	
23.5%	23.4%	-0.1%	-0.4%
114	65	-49	-43.0%
65	42	-23	-35.4%
$ 4,333,155	$ 2,403,970	$ (1,929,185)	-44.5%
$ 1,811,947	$ 829,706	$ (982,241)	-54.2%
$ 1,325,349	$ 799,862	$ (525,487)	-39.6%
98.8%	98.3%	-0.5%	-0.5%
$ 89,081	$ 36,367	$ (52,714)	-59.2%
$ 434,536	$ 436,193	$ 1,657	0.4%
$ 523,617	**$ 472,560**	**$ (51,057)**	**-9.8%**
$ 300,325	**$ 282,180**	**$ (18,145)**	**-6.0%**
$ 94,175	**$ 103,355**	**$ 9,180**	**9.7%**
$ 129,450	**$ 87,692**	**$ (41,758)**	**-32.3%**
$ 129,117	**$ 87,025**	**$ (42,092)**	**-32.6%**
$ 219,649	**$ 227,553**	**$ 7,903**	**3.6%**

Variance interpretation also considers the economic nature of the metric. A positive revenue variance is generally favorable, while a positive expense variance may represent an unfavorable cost overrun. The model's presentation reflects this distinction so that management can quickly identify favorable and unfavorable performance.

This structure turns monthly reporting into more than a historical summary. It allows management to evaluate the accuracy of prior expectations and understand the operational drivers behind financial variance.

5.3 Rolling Outlook

The model extends beyond the current reporting month by creating a rolling outlook for the remaining periods of the year.

Rather than applying a single assumption to every metric, forecast logic is adapted to the nature of the underlying activity.

Operational volume measures can use historical performance and the most recent actual month to estimate how quickly activity may return toward normalized levels.

Other financial items use different methodologies depending on their behavior. Payroll may follow the most recent run rate, recurring operating expenses may be based on normalized historical averages, and capital expenditures are modeled through explicit assumptions because they are typically irregular rather than recurring.

The result is a rolling FP&A framework in which historical periods remain fixed as actuals while the remaining periods continue to reflect the latest available operating and financial information.

5.4 Financial Decision Support

The FP&A model is ultimately intended to support management decisions rather than simply produce financial statements.

By integrating operational performance with financial reporting, management can assess the company from several perspectives simultaneously.

Profitability analysis shows whether collections and fee revenue are sufficient to cover direct costs and operating expenses. EBITDA and EBIT provide different views of operating performance, while gross margin helps evaluate the relationship between revenue and directly associated costs.

Cash-flow analysis provides a separate view of liquidity.

This distinction is particularly important for a receivables business because the timing of cash deployment and cash recovery may differ substantially. A company may report positive operating performance while simultaneously requiring significant liquidity to finance receivable purchases, payroll, expenses, or capital expenditures.

The model therefore allows management to evaluate questions such as:

- Is operating activity generating sufficient revenue?
- Are acquisition costs producing adequate returns?
- Are payroll and operating expenses consistent with expected activity?
- Is the company generating or consuming cash?
- How much liquidity may be required to support future receivable purchases?
- How does the current month compare with expectations?
- What does the latest operating performance imply for the remainder of the year?

Aug-26	Sep-26	Q3	Oct Fcst	Oct Actual	Abs Var	Var %	Nov-26	Dec-26
$ 161,330	$ 354,070	**$ 1,299,560**	$ 639,742	$ 297,384	$ (342,358)	-53.5%	$ 501,419	$ 587,871
$ 41,530	$ 84,299	**$ 297,762**	$ 150,137	$ 69,536	$ (80,601)		$ 117,675	$ 137,964
25.7%	23.8%	**22.9%**	23.5%	23.4%	-0.1%	-0.4%	23.5%	23.5%
$ 3,855,957	$ 352,260	**$ 9,314,004**	$ 4,333,155	$ 2,403,970	$ (1,929,185)	-44.5%	$ 3,420,912	$ 3,953,054
$ 1,529,857	$ 163,841	**$ 3,771,739**	$ 1,811,947	$ 829,706	$ (982,241)	-54.2%	$ 1,430,484	$ 1,653,004
$ 1,500,956	$ 186,098	**$ 3,162,379**	$ 1,325,349	$ 799,862	$ (525,487)	-39.6%	$ 1,101,059	$ 1,223,399
98.1%	99.8%	**98.9%**	98.8%	98.3%	-0.5%	-0.5%	98.8%	98.8%
$ 430,809	**$ 111,927**	**$ 957,474**	**$ 523,617**	**$ 472,560**	**$ (51,057)**	**-9.8%**	**$ 435,005**	**$ 483,339**
$ 245,893	**$ 108,113**	**$ 560,029**	**$ 300,325**	**$ 282,180**	**$ (18,145)**	**-6.0%**	**$ 260,447**	**$ 282,632**
$ 93,171	**$ 89,091**	**$ 278,754**	**$ 94,175**	**$ 103,355**	**$ 9,180**	**9.7%**	**$ 94,508**	**$ 94,508**
$ 92,078	**$ (84,944)**	**$ 119,692**	**$ 129,450**	**$ 87,692**	**$ (41,758)**	**-32.3%**	**$ 80,716**	**$ 106,865**
$ 91,744	**$ (85,277)**	**$ 118,692**	**$ 129,117**	**$ 87,025**	**$ (42,092)**	**-32.6%**	**$ 80,049**	**$ 106,198**
$ 237,776	**$ (121,913)**	**$ 199,609**	**$ 219,649**	**$ 227,553**	**$ 7,903**	**3.6%**	**$ 162,705**	**$ 190,750**

The FP&A adaptation therefore represents the final analytical bridge within the project: detailed operational activity is converted into standardized financial information that supports profitability analysis, liquidity planning, variance review, and full-year forecasting.

6. Project Outcome

The completed project brings together operational data, settlement analysis, collection tracking, financial reporting, forecasting, and management reporting within a single integrated framework.

Instead of relying on isolated calculations or separate spreadsheets for each task, the model creates a connected workflow in which case-level activity can be standardized, analyzed, summarized, and ultimately translated into company-level financial information.

The result is a system that supports both day-to-day operational work and broader management oversight.

6.1 Operational Analytical Capability

The project creates a centralized analytical environment for evaluating thousands of receivable records across cases, providers, law firms, ownership types, negotiation stages, and collection outcomes.

Standardized operational data makes it possible to analyze the portfolio consistently rather than reviewing receivables as isolated records.

These measures can also be analyzed by law firm, allowing management to compare negotiation and collection performance across external counterparties.

The Operational Dashboard converts this detailed information into a portfolio-level view, while the underlying data remains available for deeper case-level analysis when needed.

This creates a significantly broader analytical capability than reviewing individual receivables independently.

6.2 Financial Analytical Capability

The project also extends operational analysis into a structured financial-planning environment.

Operational drivers are converted into monthly financial reporting that includes revenue, direct costs, gross profit, SG&A, EBITDA, depreciation, EBIT, capital expenditures, and net cash flow.

This provides management with visibility into both profitability and liquidity.

The model also incorporates monthly, quarterly, and full-year reporting, allowing financial performance to be evaluated across multiple time horizons.

Forecast-versus-actual analysis identifies where current performance differs from expectations, while the rolling outlook updates future periods based on the latest operating and financial information.

As a result, management can move from questions such as:

“How much was collected on this case?”

to broader questions such as:

“How are collections, acquisition spending, operating costs, and current activity affecting profitability, liquidity, and the expected full-year result?”

This connection between operational activity and financial performance is one of the central outcomes of the project.

6.3 Process Automation

A significant portion of the project was designed to reduce repetitive manual work and create more consistent processes.

The Reduction Calculator automates many of the calculations required during settlement analysis, including bill-level allocation, recovery percentages, target distributions, acquisition-cost comparisons, and negotiation tracking.

Negotiation events are automatically recorded into a structured history, while finalized agreements update the corresponding operational records.

The collection section extends this workflow by allowing actual cash receipts to be allocated against negotiated agreements and recorded separately for later analysis.

Additional automation supports recurring financial processes, including payroll generation and monthly expense generation.

The broader model then automatically rolls this information into operational metrics, dashboard reporting, and financial analysis.

This reduces the need to repeatedly recreate calculations or manually consolidate information across separate files.

More importantly, automation improves consistency. The same calculation logic and data structures are reused across cases and reporting periods, reducing dependence on individually prepared calculations and creating a more repeatable operating process.

6.4 Management Decision Support

The final outcome of the project is a management decision-support system that connects detailed operational activity with portfolio and company-level performance.

At the operational level, management can identify how receivables are distributed, where negotiations are improving recoveries, which law firms are generating stronger or weaker results, and where agreed settlements remain uncollected.

At the investment level, acquisition cost can be compared with owned collections and recovery performance to evaluate the deployment and return of capital.

At the financial level, management can monitor revenue, costs, margins, profitability, liquidity, forecast variance, and expected full-year performance.

Because these perspectives originate from a connected data structure, management can move between them without relying on separate analytical systems.

The project therefore provides a clearer view of the relationship between:

Receivable Purchase → Negotiation → Agreement → Collection → Revenue and Cost → Profitability → Cash Flow

This integrated perspective is the principal outcome of the project.

It transforms detailed receivable records into a structured analytical framework that supports operational control, financial planning, performance evaluation, and forward-looking management decisions.